UCHUMI

Home Of Value

CONSOLIDATED INCOME STATEMENT

	2016 Kshs'000	2015 Kshs'000
Net sales	6,427,143	12,954,581
Cost of Sales	(5,450,199)	(10,816,813)
Gross Profit	**976,944**	**2,137,768**
Other Income	334,526	450,610
Total Income	**1,311,470**	**2,588,378**
Operating Expenses	(3,291,832)	(4,816,551)
Profit/(Loss) From Operating expenses	**(1,980,362)**	**(2,228,173)**
Change In Fair Value of Investment Properties	100,000	100,000
Provision and Write Offs	(466,782)	(1,049,037)
Gain on Loss of Control of Subsidiaries	86,776	-
Finance Cost	(411,119)	(335,854)
Profit/(Loss) Before Taxation	**(2,671,497)**	**(3,513,064)**
Income Tax Credit/(Expense)	**(165,235)**	**91,704**
Profit/(Loss) After Taxation	**(2,836,732)**	**(3,421,360)**
Profit/(Loss) Per Share Basic and Diluted	**(7.77)**	**(9.37)**
No. of Shares Issued	365 Million	365 Million

CONSOLIDATED BALANCE SHEET

	2016 Kshs'000	2015 Kshs'000
ASSETS		
NON-CURRENT ASSETS	3,338,177	4,635,709
CURRENT ASSETS	1,664,039	1,777,287
TOTAL ASSETS	**5,002,216**	**6,412,996**
SHAREHOLDERS' EQUITY AND LIABILITIES		
CAPITAL & RESERVES.		
Share Capital	1,824,808	1,824,808
Reserves	(3,922,185)	(1,085,453)
	(2,097,377)	**739,355**
NON-CURRENT LIABILITIES		
Term Loans	63,141	-
Deferred Tax	115,750	110,750
Obligations Under Finance Lease	488,530	382,944
	667,421	**493,694**
CURRENT LIABILITIES	**6,432,172**	**5,179,947**
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES	**5,002,216**	**6,412,996**

COMMENTARY ON PERFORMANCE

This performance of the year ending 30th June 2016 was impacted by the closure of non-performing branches in Uganda, Tanzania and Kenya and supply chain challenges. The Group lost controls of the subsidiaries in Uganda and Tanzania in October 2015. The short term effect to June 2016 was the decline in revenues. Nevertheless due to Management interventions, the Group losses reduced by 17% from KES 3.4BN in 2015 to KE 2.8BN in 2016.

The Board and Management are focusing on a turnaround strategy which includes adoption of a franchising model, funding through shareholders loan, ICT improvements and supplier support. The search for a strategic investor is ongoing. Discussions are ongoing with several potential partners and the Board is hopeful that the discussions will be concluded in 2017.

The Board of Directors is confident that the strategies being implemented will achieve the desired turnaround. Uchumi brand is still very vibrant and will continue to be a strong household brand. We thank all the stakeholders for their continued support.

Auditors Opinion

The above financial information have been extracted from the financial statement which were audited by KPMG Kenya who issued a disclaimer of opinion on the group financial statements due to lack of audit evidence on foreign subsidiaries up to the date of loss of control and a qualified opinion on company financial statements with regard to lack of audit evidence on Property and Equipment's opening balances.

Dividend

The Directors do not recommend the payment of a final dividend for the year ended 30 June, 2016.

Annual General Meeting

The Annual General Meeting will be held on Friday, 31 March 2017.

The financial statements were approved by the Board of directors on 30 January 2017.

BY ORDER OF THE BOARD

Dr C Ngahu
Chairman

Dr J Kipngetich
Chief Executive Officer

30 January 2017